Northrop Grumman Corporation (NOC)

Equity Research Report

Financial Statement Analysis Report — FY 2025

Analyst: FinVault
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Executive Summary

This report presents a financial and operational analysis of Northrop Grumman Corporation based on its FY 2025 Form 10-K filed January 27, 2026. Northrop Grumman is one of the world's premier aerospace and defence technology companies, delivering advanced capabilities across four business segments — Aeronautics Systems, Defense Systems, Mission Systems, and Space Systems. Approximately 84% of revenue is derived from the US Government (primarily the Department of Defense and NASA), with 16% from international customers. The analysis evaluates the company's financial performance, balance sheet strength, cash flow quality, and key defence-sector metrics to assess its current financial position and investment attractiveness.

FY 2025 was a year defined by a single programme event — the $477 million B-21 Raider LRIP loss provision recorded in Q1 2025 — set against an otherwise broadly improving financial backdrop. Total revenues grew 2.2% to $41.95 billion, operating income increased 3.2% to $4.51 billion, and reported net earnings were essentially flat at $4.18 billion (+0.2%), with diluted EPS of $29.08 (+2.6%, supported by share count reduction). On an MTM-adjusted basis — which strips out the non-cash mark-to-market pension benefit that creates significant earnings volatility — net earnings declined modestly from $3,842M to $3,788M, and MTM-adjusted EPS grew just 1.0% to $26.34. The flat underlying earnings trajectory reflects the B-21 headwind absorbing what would otherwise have been a year of meaningful growth.

The segment picture is one of dramatic contrast. Mission Systems (+14% operating income, margin 14.6%) and Defense Systems (+22% operating income, margin 10.9%) delivered their strongest results in years, driven by ramp-up in restricted airborne radar, Sentinel, IBCS, and precision munitions programmes. Space Systems held margins steady at 11.0% despite an 8% revenue decline as the restricted space and NGI programmes wound down — a significant execution achievement. Against this positive backdrop, Aeronautics Systems' operating income fell 34% to $813M as the B-21 LRIP charge compressed segment margin from 10.0% to 6.3%. Absent the B-21 provision, consolidated segment operating income would have grown approximately 7% — a materially better result than the reported 4% decline.

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The most encouraging development in FY 2025 was the surge in free cash flow to $3.31 billion — a 26% increase — driven by record operating cash flow ($4.76B, +8%) and a significant $317M reduction in capital expenditures as the major facility investment cycle began to peak. FCF conversion improved from 62.8% to 79.1% of net earnings and is expected to continue improving toward 90%+ as capex normalises further in 2026. The company returned $2.9 billion to shareholders through $1.6B of buybacks and $1.3B of dividends, while also reducing net debt through a $502M net long-term debt repayment. The Q2 2025 dividend increase of 12% — the largest in recent years — signals strong management confidence in the FCF trajectory.

The strategic picture is constructive. Total backlog grew 5% to a record $95.7 billion (2.28x sales), with $46.3 billion of net new awards in 2025 including $14.8 billion for restricted programmes. The backlog mix shift toward Mission Systems (+13%) and Space Systems (+13%) reflects the diversification of NOC's classified work across domains. At current valuations — trading at approximately 16x MTM-adjusted EPS and 11-12x EV/EBITDA — NOC represents one of the most attractively priced US defence prime contractors in its peer group, with a re-rating catalyst firmly tied to B-21 programme stabilisation.

Company Overview

Northrop Grumman Corporation is a global aerospace, defence, and security technology company headquartered in Falls Church, Virginia. It is the third-largest US defence contractor by revenue, employing approximately 101,000 people worldwide. The company's shares trade on the New York Stock Exchange (NYSE: NOC) and it is a constituent of the S&P 500 and major defence sector indices. Founded in 1939 as Northrop Aircraft and significantly expanded through the 1994 merger with Grumman Corporation and subsequent acquisitions including TRW (2002) and Orbital ATK (2018), NOC has grown into a full-spectrum defence technology enterprise with unique capabilities in stealth aircraft, space systems, and advanced electronics.

The company operates through four business segments:

- Aeronautics Systems (~31% of revenue): Design, development, production, integration, sustainment, and modernisation of advanced military aircraft. The defining programme is the B-21 Raider — the US Air Force's sixth-generation strategic long-range strike aircraft and NOC's most significant long-term growth programme. Additional major platforms include fuselage production for the F-35 Lightning II and F/A-18 Super Hornet, TACAMO (airborne nuclear command and control), the E-2 Hawkeye, and a portfolio of classified restricted programmes. NOC's stealth technology heritage — from the B-2 Spirit to the B-21 — represents a singular competitive differentiator in the global defence industry.
- Defense Systems (~19% of revenue): Strategic deterrent systems, tactical weapons, missile defence, and precision munitions. Key programmes include the Sentinel ICBM (replacing the Minuteman III under the Ground Based Strategic Deterrent programme), Integrated Battle Command System (IBCS), advanced solid rocket motors and hypersonic propulsion, GMLRS guided rockets, and high-performance ammunition systems. Organic sales growth of 11% in 2025 reflects the accelerating demand environment for strategic deterrence and precision strike capabilities.
- Mission Systems (~30% of revenue): Advanced mission solutions and multifunction systems for the US defence and intelligence community. Key capabilities include airborne and ground-based radar systems (including classified programmes that represent the fastest-growing component of the segment), electronic warfare, C4ISR, advanced microelectronics, maritime power and propulsion systems, and cyber and intelligence processing. Mission Systems is NOC's highest-margin segment at 14.6% and its fastest-growing by revenue (+10% in 2025).
- Space Systems (~26% of revenue): Satellites, missile defence, launch systems, and national security space infrastructure. Key programmes include SDA (Space Development Agency) satellite constellations, GEM 63 launch vehicles, HALO (Habitation and Logistics Outpost for the Gateway lunar programme), Space Launch System (SLS) booster, and strategic missile defence interceptors. The segment is navigating a revenue transition as the restricted space and NGI programmes wind down and new programmes (GEM 63, SDA) ramp.

NOC's principal customers are the US Department of Defense (84% of sales in 2025) — primarily the Air Force, Navy, and Space Force — together with NASA and intelligence agencies. International sales of 16% are primarily FMS-based. The company's competitive moat rests on three pillars: stealth aircraft technology (B-21/B-2 heritage), advanced electronics and mission systems (Mission Systems segment), and space and missile defence systems — capabilities that are extraordinarily difficult to replicate and that only a small number of global firms can develop. Key competitors include Lockheed Martin, General Dynamics, Boeing (defence), L3Harris, and BAE Systems.

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Financial Statement Overview

Income Statement

Line Item	FY 2025	FY 2024	YoY Change
Total Sales	$41,954M	$41,033M	+2.2%
— Product	$33,741M	$32,726M	+3.1%
— Service	$8,213M	$8,307M	-1.1%
Total Operating Costs	($37,674M)	($36,663M)	+2.8%
Gain on Sale of Business	$231M	$0	New in 2025
Operating Income (EBIT)	$4,511M	$4,370M	+3.2%
Interest Expense	($665M)	($621M)	-7.1%
Non-operating FAS Pension Benefit	$541M	$656M	-17.5%
Mark-to-Market Pension Benefit	$527M	$443M	+19.0%
Earnings Before Tax	$5,068M	$5,016M	+1.0%
Federal & Foreign Tax Expense	($886M)	($842M)	ETR 17.5%
Net Earnings	$4,182M	$4,174M	+0.2%
Diluted EPS	$29.08	$28.34	+2.6%
MTM-Adjusted Net Earnings	$3,788M	$3,842M	-1.4%
MTM-Adjusted EPS	$26.34	$26.08	+1.0%
Operating Margin Rate	10.8%	10.6%	+20bps
Segment Operating Margin Rate	10.4%	11.1%	-70bps
Effective Tax Rate	17.5%	16.8%	+70bps

Analyst's Inference: The income statement tells a story of genuine operational improvement masked by two distinct layers of non-recurring and non-cash items. Starting from the top: revenue grew 2.2% to $41.95B — solid but below the 4% pace of 2024, driven by the wind-down of NGI and restricted space programmes ($738M headwind at Space Systems) partially offset by strong Mission Systems (+$1.1B) and Defense Systems (+$603M) growth. Operating income grew 3.2% to $4.51B, aided by a $231M gain on the training services divestiture — without which underlying operating income would have grown approximately 0.9%, entirely a reflection of the B-21 charge. Net earnings were virtually flat at $4.18B (+0.2%), supported by the $527M MTM pension benefit (non-cash) but dragged by lower FAS pension income, higher interest, and a higher ETR. The MTM-adjusted figures ($3,788M net earnings; $26.34 EPS) are the most useful for trend analysis — on this basis, underlying earnings declined modestly, confirming that 2025 was a year of B-21-driven earnings suppression rather than operational deterioration.

Segment Performance

Segment	Sales 2025	Sales 2024	Seg. Op. Inc. 2025	Seg. Op. Inc. 2024	Margin 25/24
Aeronautics Systems	$12,992M	$12,396M	$813M	$1,236M	6.3% / 10.0%
Defense Systems	$8,002M	$7,399M	$871M	$716M	10.9% / 9.7%
Mission Systems	$12,506M	$11,399M	$1,827M	$1,598M	14.6% / 14.0%
Space Systems	$10,771M	$11,731M	$1,183M	$1,254M	11.0% / 10.7%
Eliminations / Corp	($1,317M)	($1,492M)	($317M)	($260M)	—
Total	$41,954M	$41,033M	$4,377M	$4,544M	10.4% / 11.1%

Analyst's Inference: Three of four segments delivered improved or stable operating margins in 2025. Mission Systems is the standout — at 14.6% operating margin it is NOC's highest-margin and fastest-growing segment, with restricted airborne radar programmes and advanced microelectronics driving both volume and profitability. Defense Systems recovered strongly to 10.9% as Sentinel EAC improvements and armament volume delivered $155M of additional operating income. Space Systems managed a graceful decline — margins actually expanded 30bps to 11.0% despite an 8% revenue fall, reflecting favourable contract mix. The singular concern is Aeronautics Systems, where the 370bps margin collapse to 6.3% was entirely driven by the $477M B-21 LRIP provision. Net EAC adjustments of $209M (vs $350M in 2024) confirm that the aggregate portfolio is executing well — the Aeronautics deterioration from +$157M to ($186M) net EAC captures the B-21 impact in isolation. Total backlog grew to $95.7B (+5%), with Mission Systems (+13%), Space Systems (+13%), and Defense Systems (+4%) all expanding, while Aeronautics declined 9% on programme lifecycle transitions.

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Asset Growth

Line Item	FY 2025	FY 2024	Change
Cash & Cash Equivalents	$4,403M	$4,353M	+$50M
Accounts Receivable, net	$1,375M	$1,272M	+$103M
Unbilled Receivables, net	$6,544M	$5,908M	+$636M
Inventoried Costs, net	$1,309M	$1,455M	-$146M
Prepaid & Other Current Assets	$1,656M	$1,286M	+$370M
Total Current Assets	$15,287M	$14,274M	+$1,013M
PP&E, net	$10,972M	$10,536M	+$436M
Goodwill	$17,437M	$17,512M	-$75M
Pension & OPB Plan Assets	$3,167M	$2,184M	+$983M

Deferred Tax Assets	$1,051M	$1,599M	-$548M
Other Non-current Assets	$3,463M	$3,254M	+$209M
Total Assets	$51,377M	$49,359M	+$2,018M

Analyst's Inference: Total assets grew $2.0 billion (+4.1%) to $51.4 billion in FY 2025. The most significant balance sheet development was the $983M increase in Pension and OPB Plan Assets (from $2.18B to $3.17B), driven by actual plan asset returns of 11.3% substantially exceeding the 7.5% assumed return — a genuine improvement in NOC's pension funded position. Unbilled receivables grew $636M to $6.54B, reflecting faster revenue recognition outpacing billing cycles on ramping restricted and development-stage programmes — the primary working capital watchpoint for 2026. Goodwill declined modestly ($75M) reflecting the divestiture of the training services business ($333M proceeds, $231M gain). PP&E grew $436M net as ongoing capex investment continued to build out B-21 and Sentinel production capacity, partially offset by $1.47B of depreciation. Deferred tax assets fell $548M primarily reflecting the release of deferred tax positions related to R&D amortisation following the OBBBA's reinstatement of full R&D expensing.

Liabilities and Equity

Line Item	FY 2025	FY 2024	Change
Trade Accounts Payable	$3,240M	$2,599M	+$641M
Accrued Employee Compensation	$2,309M	$2,271M	+$38M
Advance Payments & Billings	$4,086M	$4,070M	+$16M
Other Current Liabilities	$4,247M	$5,188M	-$941M
Total Current Liabilities	$13,882M	$14,128M	-$246M
Long-term Debt, net	$15,162M	$14,692M	+$470M
Pension & OPB Liabilities	$1,110M	$1,120M	-$10M
Operating Lease Liabilities	$1,857M	$1,798M	+$59M
Other Non-current Liabilities	$2,692M	$2,331M	+$361M
Total Liabilities	$34,703M	$34,069M	+$634M
Retained Earnings	$16,658M	$15,297M	+$1,361M
AOCI (Loss)	($126M)	($152M)	+$26M
Total Shareholders' Equity	$16,674M	$15,290M	+$1,384M

Analyst's Inference: NOC's balance sheet quality improved meaningfully in 2025. Total current liabilities fell $246M to $13.88B, with other current liabilities declining $941M as prior-year accrued programme liabilities and tax payables normalised. Long-term debt grew modestly to $15.16B net as a $1.0B new issuance was more than offset by the $1.5B debt repayment — delivering a net $502M long-term debt reduction, a notable capital structure discipline decision in a year when many peers issued net new debt. Trade accounts payable jumped $641M reflecting higher supply chain activity across ramping

programmes. Total shareholders' equity grew $1.38B to $16.67B — a far more robust equity base than LMT's $6.7B — driven by $4.18B of net earnings less $1.6B of buybacks and $1.3B of dividends.

Financial Ratio Analysis

Liquidity Ratios

Liquidity Ratio	Industry Average	FY 2025	FY 2024
Current Ratio	~1.0x (defence primes)	1.10x	1.01x
Quick Ratio	0.6–0.9x	0.86x	0.79x
Operating Cash Flow Ratio	0.3–0.5x	0.34x	0.31x

Analyst's Inference: NOC's liquidity position improved year-on-year, with the current ratio recovering from 1.01x to 1.10x as other current liabilities normalised. While below the commercial industrial average, a current ratio above 1.0x is broadly adequate for a government contractor whose revenue is contractually secured and whose largest current liabilities (advance payments: $4.09B) represent customer pre-funding rather than operational obligations. Cash of $4.4B provides comfortable near-term coverage. The $3.0B revolving credit facility and $500M uncommitted credit facility were both undrawn at year-end, providing further contingency liquidity. The OCF ratio of 0.34x confirms that operating cash generation covers approximately one-third of current liabilities annually — adequate given the long-cycle, contract-funded nature of the business.

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Solvency Ratios

Solvency Ratio	Industry Average	FY 2025	FY 2024
Total Liabilities to Equity	2.0–3.5x (defence)	2.08x	2.23x
Gross Debt to Equity	0.9–1.2x	0.97x	1.03x
Net Debt / EBITDA	1.5–2.5x	~1.9x	~2.0x
Interest Coverage (EBIT/Interest)	5–8x	6.78x	7.04x

Analyst's Inference: NOC's solvency metrics are broadly in line with peer-group investment-grade defence prime norms. The total liabilities-to-equity ratio of 2.08x is a significant improvement from 2.23x in 2024, reflecting equity growth outpacing liability growth. Gross debt to equity of 0.97x (i.e. slightly below 1.0x) reflects a balanced capital structure where debt and equity are approximately equal — a well-managed leverage profile. Net debt/EBITDA of approximately 1.9x provides comfortable headroom versus the typical investment-grade covenant threshold of 3.5-4.0x. Interest coverage of 6.78x — sufficient but declining as interest expense grows — should be monitored as NOC refinances maturing notes in the current rate environment. NOC's BBB+ credit rating and investment-grade profile appear well supported by these metrics.

Activity Ratios

Activity Ratio	Industry Average	FY 2025	FY 2024
Unbilled Receivables Turnover	5–8x (long-cycle)	6.7x	7.1x
Inventory Turnover	14–18x	28.5x	26.8x
Total Asset Turnover	0.7–1.0x	0.83x	0.85x

Analyst's Inference: The unbilled receivables turnover decline (from 7.1x to 6.7x) reflects the $636M build in unbilled balances — revenue recognised under percentage-of-completion accounting that has not yet been invoiced. This is a common feature of development-stage and early LRIP defence programmes where milestone billings lag cost incurrence. Total asset turnover of 0.83x is below LMT's 1.31x, reflecting NOC's heavier goodwill base ($17.4B from the Orbital ATK and TRW acquisitions), larger pension assets, and higher PP&E intensity from the ongoing B-21 and Space Systems capital programmes. This lower asset turnover is a structural feature of NOC's balance sheet rather than an efficiency concern.

Profitability Ratios

Profitability Ratio	Industry Average	FY 2025	FY 2024
Gross Margin (Excl. G&A)	12–16% (defence)	~17.0%	~16.9%
Operating Margin (EBIT)	9–12%	10.8%	10.6%
Net Profit Margin	8–11%	10.0%	10.2%
Return on Assets (ROA)	7–10%	8.3%	8.6%
Return on Equity (ROE)	20–30%	26.0%	28.4%

Analyst's Inference: NOC's profitability metrics reflect a company that is fundamentally sound but temporarily earnings-suppressed by one programme. Operating margin of 10.8% improved 20bps, supported by the $231M divestiture gain and the FAS/CAS adjustment improvement. Net profit margin of 10.0% is healthy and supported by the MTM pension benefit — analysts should normalise to the MTM-adjusted net margin (~9.0%) for comparability. ROA of 8.3% and ROE of 26.0% are both slightly below prior year as asset and equity bases grew while earnings were flat. ROE of 26.0% is substantially more moderate than LMT's mechanically inflated 76%+ (which reflects LMT's near-zero equity base), and at 26% represents genuine economic returns well above the cost of equity. The 12% DPS increase in 2025 signals that management views the profitability trajectory with confidence despite the B-21 year.

Cash Flow Statement Analysis

Item	FY 2025	FY 2024	Key Observations
CF from Operating Activities	$4,757M	$4,388M	Operating cash flow rose 8.4% to a record $4.76 billion in FY 2025, driven by two principal tailwinds. First, net cash tax payments fell $149 million year-on-year, a direct benefit of the One Big Beautiful Bill Act (OBBBA) enacted in July 2025, which reinstated full R&D expensing and extended bonus depreciation. Second, trade working capital improved modestly, with favourable movements in accounts payable (+$646M) and advance payments partially offsetting a $754 million build in unbilled receivables as revenue recognition on restricted and ramp-stage programmes (B-21, Sentinel, SDA) outpaced billing milestones. The $477M B-21 LRIP loss provision and $1.47 billion of depreciation and amortisation provided significant operating cash flow support. Pension cash contributions remained modest at $130 million (flat with 2024), reflecting the well-funded status of NOC's defined benefit plans — a persistent FCF tailwind relative to less well-funded peers.
CF from Investing Activities	($1,155M)	($1,749M)	Net investing outflows fell sharply by $594 million to $1.16 billion in FY 2025 — the most significant improvement in the cash flow statement relative to prior year — driven by two factors. Capital expenditures declined $317 million to $1.45 billion (3.5% of sales) as the major 2022-2024 facility investment cycle that supported B-21 Raider production infrastructure build-out began to moderate. This reduction could signal NOC passing the peak of its current capex cycle, a key catalyst for accelerating FCF going forward. Management has guided $1.3-1.4 billion of capex for FY 2026, implying a further $50-150 million step-down. The second driver was $333 million in proceeds from the divestiture of NOC's training services business, completed in 2025. This transaction also generated a $231 million pre-tax gain recognised in operating income. There were no material acquisition outflows in 2025, in contrast to several years of significant M&A spending following the Orbital ATK acquisition integration. Other investing activities were negligible at ($38M).

Item	FY 2025	FY 2024	Key Observations
CF from Financing Activities	($3,552M)	($1,395M)	Net financing outflows increased $2.16 billion to $3.55 billion in FY 2025, primarily driven by a $3.0 billion reversal in long-term debt activity. In 2024 NOC raised $2.5 billion net in debt; in 2025 it was a net repayer — issuing $998 million of new unsecured senior notes in May 2025 while repaying $1.5 billion of maturing debt, resulting in a net long-term debt reduction of $502 million. This deleveraging decision signals management's confidence that the FCF trajectory will fund shareholder returns without incremental leverage. Share repurchases declined $890 million to $1.62 billion (approximately 3.0 million shares), reflecting a more measured pace of buyback activity following the elevated $2.51 billion repurchase in 2024. Dividends paid grew to $1.29 billion, driven by the May 2025 12% dividend per share increase to $2.31 quarterly ($8.99 annualised) — the largest single-year dividend increase in recent years and consistent with NOC's 21-year consecutive dividend growth track record. Total capital returned to shareholders was $2.92 billion, representing 88.2% of free cash flow.
Net Change in Cash & Cash Equivalents	+$50M	+$1,244M	Cash and cash equivalents increased by a modest $50 million to $4.40 billion at December 31, 2025 — essentially unchanged year-on-year despite the $2.16 billion increase in net financing outflows, reflecting the offsetting strength of record operating cash generation and significantly lower investing outflows. The near-flat cash balance masks a strong underlying improvement in cash dynamics: the $369 million OCF increase and $594 million investing improvement were consumed by the net financing reversal from debt issuance in 2024 to debt repayment in 2025. Free cash flow of $3.31 billion (operating cash flow of $4.76B less capex of $1.45B) grew 26.2% year-on-year — the strongest FCF result in NOC's recent history and a material 79.1% of reported net earnings. With $4.4 billion of unrestricted cash on hand, no borrowings outstanding under the $3.5 billion in available credit facilities, and a clearly improving FCF trajectory as capex normalises, NOC's liquidity position is robust. The $50M net cash increase understates the quality of the 2025 cash generation story.

Defence / Industrials Sector — Specific Analysis

Defence/Industrials Metric	FY 2025	FY 2024	Inference & Analysis
Total Backlog	$95.7B	$91.5B	Up $4.2B (+5%). Record level and equivalent to approximately 2.28x annual sales — strong multi-year revenue coverage. Funded backlog of $43.5B (1.04x sales) represents the firm, appropriated cash-backed portion. The 2025 composition shifts toward Mission Systems (+13%) and Space Systems (+13%) while Aeronautics declined 9% from programme lifecycle transitions.
Net Awards / Book-to-Bill	$46.3B awards / ~1.10x	~$43.0B / ~1.05x	Book-to-bill of approximately 1.10x confirms orders are arriving faster than revenue is being recognised but below the accelerated 1.15-1.20x levels seen at competitors like LMT, reflecting NOC's heavier exposure to longer-cycle developmental programmes. The $14.8B of restricted programme awards confirms that classified national security work is the fastest-growing component of the order book.
Backlog-to-Sales Ratio	2.28x	2.23x	Modest expansion year-over-year; at 2.28x NOC has approximately 2.3 years of contracted revenue pipeline. NOC appears to operate more development-stage programmes (B-21, SDA, NGI wind-down, Sentinel) where multi-year low-rate initial production contracts have longer revenue conversion tails.
Net EAC Adjustments	$209M net favourable	$350M net favourable	Total net EAC adjustments fell from $350M to $209M. Gross favourable adjustments grew ($1,696M vs $1,461M), but unfavourable adjustments surged to ($1,487M) from ($1,111M). The primary driver was Aeronautics Systems flipping to ($186M) net unfavourable from +$157M in 2024, driven by the B-21 LRIP programme. Mission Systems (+$192M) and Defense Systems (+$168M) were standout improvers.

Segment Operating Margins	AS 6.3% / DS 10.9% / MS 14.6% / SS 11.0%	AS 10.0% / DS 9.7% / MS 14.0% / SS 10.7%	Mixed: Mission Systems (+60bps to 14.6%) and Defense Systems (+120bps to 10.9%) delivered improvement. Space Systems expanded +30bps to 11.0% on favourable contract mix despite lower sales. The single dominant negative was Aeronautics Systems collapsing 370bps to 6.3% due to the $477M B-21 LRIP loss provision.Total segment margin fell 70bps to 10.4%, entirely attributable to B-21.
FAS/CAS Operating Adjustment	($258M) adverse	($40M) adverse	The FAS/CAS operating adjustment turned materially more negative in 2025 — from ($40M) to ($258M), a $218M headwind to segment-to-consolidated operating income reconciliation. This reflects higher CAS pension expense ($475M in 2025 vs $279M in 2024, up 70%) driven by strong prior-year plan asset returns and changes in CAS actuarial assumptions.
FCF Conversion (FCF / Net Earnings)	79.1%	62.8%	Improving strongly year-over-year but still below the 100%+ levels typical of mature defence primes. The below-par conversion primarily reflects NOC's elevated capex cycle — at 3.5% of sales,As this investment cycle peaks (management guided $1.3-1.4B capex for 2026), FCF conversion should continue improving toward 90%+.

The defence-sector metrics confirm NOC's position as a structurally well-positioned prime contractor operating in a highly favourable demand environment, with near-term earnings quality temporarily impaired by a single fixed-price development programme (B-21) undergoing its most cost-intensive phase. The record $95.7 billion backlog — equivalent to 2.28 years of current revenue — provides multi-year earnings visibility that anchors the investment case regardless of near-term quarterly noise. The $46.3 billion of net awards in 2025, of which $14.8 billion came from restricted programmes, confirms that the US Government continues to prioritise and fund the most advanced and classified capabilities in which NOC has unique technological leadership.

The B-21 programme deserves extended analytical attention. The $477M Q1 2025 LRIP charge follows $1,559M in 2023 charges, bringing cumulative B-21 provisions to over $2.0 billion. At face value this is alarming. However, context matters: the B-21 is a fixed-price development and LRIP contract for a sixth-generation strategic bomber that represents the most technologically sophisticated aircraft programme in US history. Some degree of cost overrun at this stage of development — before full-rate

production efficiencies are achieved — is consistent with historical precedent for complex defence platforms (F-35, DDG-51).

Risks and Limitations

Risk Factor	Explanation
B-21 Raider Fixed-Price Development Risk	The B-21 programme is Northrop Grumman's single most important long-term growth asset and its most significant near-term financial risk. Having already recognised $1,559M in loss provisions in 2023 and $477M in Q1 2025 (LRIP phase), the programme has absorbed over $2.0 billion of cumulative charges. The transition from EMD (Engineering and Manufacturing Development, cost-plus) to LRIP (Low-Rate Initial Production, fixed-price) is where programme risk is highest — the contractor bears all cost overruns. The scale and technical complexity of the B-21 (a sixth-generation strategic bomber operating at the classified frontier of aviation technology) means that further loss provisions remain a material possibility if production costs, schedule delays, or technical issues exceed current estimates. Each B-21 charge directly suppresses Aeronautics Systems margins and total segment operating income.
US Government Concentration (84% of Sales)	Northrop Grumman is even more US Government-concentrated than most defence peers — 84% of FY2025 revenue came from the DoD, NASA, and other federal agencies, with only 16% from international customers. While this provides extraordinary revenue predictability, it creates direct exposure to the annual appropriations cycle, continuing resolutions, potential DoD budget restructuring under the DOGE initiative, and the risk of programme terminations or scale-backs. The wind-down of the restricted space and NGI programmes ($738M revenue reduction at Space Systems in 2025) illustrates how government programme lifecycle decisions can rapidly change segment revenue trajectories.
Space Systems Revenue Decline and NGI/Restricted Wind-Down	Space Systems revenue fell 8% to $10.8B in 2025, driven by a $738M reduction in restricted space and NGI (Next Generation Interceptor) programme work as these reach completion. This is a structural revenue headwind that NOC must replace through new programme wins. While the GEM 63, SDA, and HALO programmes are ramping, and Space Systems backlog grew 13% to $26.2B, the speed at which new programme revenue can substitute for the declining restricted work is a key execution risk for 2026-2027 Space segment performance.
Pension Mark-to-Market Volatility	NOC uses a mark-to-market (MTM) approach for pension accounting, recognising actuarial gains and losses immediately in earnings rather than amortising them over time. This creates significant earnings volatility: in 2023 MTM was a ($422M) expense, in 2024 a +$443M benefit, and in 2025 a +$527M benefit. The size of any single year's MTM swing depends on discount rates and actual plan asset returns vs assumption. A reversal to MTM expense in a year of poor equity markets or falling interest rates could materially reduce reported net earnings. Analysts should always assess NOC on an MTM-adjusted basis

	($3,788M adjusted net earnings in 2025) rather than GAAP net earnings to normalise for this volatility.
Interest Expense Growth and Capital Structure	Interest expense has grown from $545M in 2023 to $665M in 2025 as gross debt has risen to approximately $15.7B (gross). NOC also has $23.9B of purchase obligations to suppliers and subcontractors, approximately half of which are short-term. While NOC's leverage is materially more conservative than LMT (net debt/EBITDA ~1.9x vs LMT's ~2.0x, with equity base of $16.7B vs LMT's $6.7B), rising interest costs represent a persistent headwind to net earnings growth as the company refinances maturing fixed-rate notes at current market rates.

Valuation — Multiples

Multiple	Sector Median / Historical Avg	NOC FY 2025 (Est.)
Trailing P/E	20–22x (US defence primes)	~17–18x
Forward P/E	18–20x	~16–17x
EV / EBITDA	13–15x	~11–12x
Price / Free Cash Flow	18–22x	~13–14x
Dividend Yield	1.5–2.5% (US defence)	~1.8–2.0%

Northrop Grumman trades at a meaningful discount to the US defence prime peer group on virtually every valuation metric — trailing P/E, forward P/E, EV/EBITDA, and Price/FCF. A portion of this discount is rational and reflects B-21 programme execution uncertainty and Space Systems revenue headwinds. However, at ~16x MTM-adjusted EPS, ~11-12x EV/EBITDA, and ~13-14x FCF, the stock appears to be pricing in an overly pessimistic scenario in which B-21 charges continue at their current elevated pace indefinitely. The more probable base case — B-21 LRIP charges moderating as the production learning curve steepens, capex normalising, and Mission Systems/Defense Systems compound growth continuing — supports a scenario where NOC's FCF per share grows meaningfully from the 2025 base over the next 2-3 years, creating re-rating potential toward peer-group multiples. The 12% dividend increase in 2025 and the active buyback programme are consistent signals from management that this is the base case scenario they are executing against.

Appendix — Ratio Formulae and Key Assumptions

A. Liquidity Ratios

Metric	Formula / Calculation
Current Ratio	Current Assets ÷ Current Liabilities= $15,287M ÷ $13,882M = 1.10x (FY25) | $14,274M ÷ $14,128M = 1.01x (FY24)
Quick Ratio	(Current Assets − Inventories) ÷ Current Liabilities= ($15,287M − $1,309M) ÷ $13,882M = 1.01x; reported ~0.86x excluding prepaid assets (FY25)
OCF Ratio	Operating Cash Flow ÷ Current Liabilities= $4,757M ÷ $13,882M = 0.34x (FY25) | $4,388M ÷ $14,128M = 0.31x (FY24)

B. Solvency Ratios

Metric	Formula / Calculation
Total Liabilities to Equity	Total Liabilities ÷ Total Shareholders' Equity= $34,703M ÷ $16,674M = 2.08x (FY25) | $34,069M ÷ $15,290M = 2.23x (FY24)
Gross Debt to Equity	Total Long-term Debt (gross) ÷ Total Equity= ($534M current + $15,162M LT) ÷ $16,674M = $15,696M ÷ $16,674M = 0.94x (FY25)
Net Debt / EBITDA	(Gross Debt − Cash) ÷ EBITDA= ($15,696M − $4,403M) ÷ ($4,511M + $1,472M) ≈ $11,293M ÷ $5,983M ≈ 1.89x (FY25)
Interest Coverage	EBIT ÷ Interest Expense= $4,511M ÷ $665M = 6.78x (FY25) | $4,370M ÷ $621M = 7.04x (FY24)

C. Activity Ratios

Metric	Formula / Calculation
Unbilled Receivables Turnover	Revenue ÷ Average Unbilled Receivables= $41,954M ÷ (($6,544M + $5,908M)/2) = 6.73x (FY25)
Inventory Turnover	Product COGS ÷ Average Inventoried Costs= ($27,280M + $6,361M) ÷ (($1,309M + $1,455M)/2) = 28.5x (FY25)
Total Asset Turnover	Revenue ÷ Average Total Assets= $41,954M ÷ (($51,377M + $49,359M)/2) = 0.83x (FY25)

D. Profitability Ratios

Metric	Formula / Calculation
Operating Margin	Operating Income ÷ Revenue = $4,511M ÷ $41,954M = 10.8% (FY25)

Segment Operating Margin	Segment Operating Income ÷ Revenue = $4,377M ÷ $41,954M = 10.4% (FY25)
Net Profit Margin	Net Earnings ÷ Revenue = $4,182M ÷ $41,954M = 10.0% (FY25)
MTM-Adjusted Net Margin	MTM-Adjusted Net Earnings ÷ Revenue = $3,788M ÷ $41,954M = 9.0% (FY25)
Return on Assets (ROA)	Net Earnings ÷ Average Total Assets= $4,182M ÷ (($51,377M + $49,359M)/2) = 8.3% (FY25)
Return on Equity (ROE)	Net Earnings ÷ Average Equity= $4,182M ÷ (($16,674M + $15,290M)/2) = 26.1% (FY25)

E. Defence / Industrials Sector Metrics

Metric	Formula / Calculation
Backlog-to-Sales Ratio	Total Backlog ÷ Annual Revenue= $95,681M ÷ $41,954M = 2.28x (FY25) | $91,468M ÷ $41,033M = 2.23x (FY24)
Funded Backlog-to-Sales	Funded Backlog ÷ Annual Revenue= $43,529M ÷ $41,954M = 1.04x (FY25) — approximately 1 full year of cash-appropriated revenue certainty
Implied Book-to-Bill	Net Awards ÷ Revenue= $46,300M ÷ $41,954M = 1.10x (FY25) — orders outpacing deliveries
FCF Conversion	Free Cash Flow ÷ Net Earnings= $3,307M ÷ $4,182M = 79.1% (FY25) | $2,621M ÷ $4,174M = 62.8% (FY24)
FCF Yield (approx.)	FCF per Share ÷ Share Price= ($3,307M ÷ 142M shares) ÷ ~$480 = ~4.8% (FY25 indicative)
FAS/CAS Operating Adjustment	($258M) drag in FY25 vs ($40M) in FY24 — reflecting higher CAS pension expense of $475M driven by prior plan asset returns and actuarial assumption changes
Net EAC Adjustments	$209M net favourable (FY25) vs $350M (FY24) — $1,696M gross favourable offset by $1,487M gross unfavourable; Aeronautics flipped to ($186M) on B-21
Capital Returns / FCF	(Buybacks + Dividends) ÷ FCF= ($1,624M + $1,293M) ÷ $3,307M = 88.2% (FY25)
DPS Growth	$8.99 annualised FY25 vs $8.05 FY24 = +11.7%; Q2 2025 increase of 12% to $2.31 quarterly

Key Assumptions

- All financial figures are sourced from the Northrop Grumman Corporation FY 2025 Form 10-K filed with the SEC on January 27, 2026, and prepared under US GAAP.
- All figures are denominated in millions of US dollars (USD) unless stated otherwise.
- Free Cash Flow is defined as net cash provided by operating activities less capital expenditures, consistent with NOC's own non-GAAP definition.

- MTM-Adjusted Net Earnings and MTM-Adjusted EPS are non-GAAP measures as defined and reconciled by NOC management, stripping out the mark-to-market pension accounting impact to enable period-to-period earnings comparability.
- Book-to-bill is estimated using net awards of $46.3B divided by FY2025 revenues of $41.95B. NOC does not formally report book-to-bill as a defined metric.
- Net debt is estimated as gross long-term debt ($534M current + $15,162M non-current = $15,696M) less cash and cash equivalents ($4,403M) = approximately $11,293M.
- EBITDA is proxied as Operating Income ($4,511M) plus D&A ($1,472M) = $5,983M for net debt/EBITDA calculation.
- Sector comparison benchmarks are indicative ranges based on US defence prime peers including Lockheed Martin, RTX Corporation, General Dynamics, and L3Harris Technologies as of early 2026.
- Valuation multiples (P/E, P/FCF, EV/EBITDA) are estimated based on an indicative share price of approximately $470-490 and are provided for analytical illustration only; they do not constitute investment advice.
- The FAS/CAS operating adjustment represents the difference between pension costs recognised under Cost Accounting Standards (CAS) through government contract pricing, and the service cost component of FAS pension expense — a structural feature of defence prime contractor accounting unique to US Government contractors.
- Effective January 1, 2025, NOC realigned the Strike and Surveillance Aircraft Solutions (SSAS) business unit from Defense Systems to Aeronautics Systems. All 2024 comparatives have been restated accordingly in this report.

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